WATCH THOSE DEBT FUNDS

↘ IN AN INTEREST rate increase cycle, debt funds have been impacted the most over the past year-and-a-half and many short-term funds and gilt funds have been volatile with their returns. With this rise in repo rate, investors may continue to make decent returns in the short-term-oriented mutual funds. However, this may be the time to explore long-duration funds as the yields offered on such funds are attractive

↘ TARGET MATURITY funds could be considered by conservative investors for the long run to avail benefits from the structure of these funds. Investments in gilt as well as long-duration funds should be made with a three-year window at least. Do not ignore investments in debt funds, as in this phase of rising interest rate, yields get impacted and one has to closely watch how investments in debt funds pan out during rising interest rate cycles.

gained them a tremendous fan following. But it is one thing to promote a travel resort or a car, and altogether another when it comes to promoting financial instruments. To address this concern of investors, market regulator SEBI has stepped in and is devising guidelines on the financial advice provided by online influencers.

Certain influencers are also being used by mutual funds and insurers to promote their products in a subtle and sometimes blatant manner, which is a cause of concern. Naturally, some influencers who are there to make a quick buck will find the going tough once the guidelines come into play from 2023. There is also the concern over conflict of interest that many influencers do not state upfront in their videos and podcasts regarding their involvement or the benefits they derive on certain programmes.

MUTUAL FUNDS AND INSURERS ARE USING CERTAIN INFLUENCERS TO PROMOTE THEIR PRODUCTS IN A MANNER THAT IS EVOKING CONCERN

Such guidelines have been introduced in other countries too and they have strict rules to check activities that invite or induce promotion for solely financial gains by influencers. However, there are many who feel that influencers are doing a great job with their educational videos and presentations, which makes it easy for the common man to understand complex financial products and concepts.

It is also important for stakeholders such as distributors, advisors and even product manufacturers to practise due diligence to protect subscribers of such influencers from such wrongdoers and take prompt action against them. The practice of using influencers as speakers for promotion by many stakeholders is a mixed signal for consumers as they cannot differentiate between biased and unbiased advice. The concerns also go up when celebrities like film stars and sportspersons promote products and services, something that has so far gone without any check.

This move is a first step in that direction. It would augur well if all regulators follow a common guideline so that consumer interest is taken into consideration and nothing is left to chance for people to be taken in by the claims of influencers.

↘ BEYOND INSURANCE

The Department of Financial Services under the Ministry of Finance has proposed that an insurer may also distribute other financial products as specified and subject to the regulations. While the move is being welcomed, it also has a fair share of sceptics. There is no universal regulator for financial products and services, which makes it difficult to check how effective insurance agents will be when it comes to, say, selling loans, mutual funds or retirement schemes. The ministry's proposal is yet to provide clarity on how this proposal will work.

As for insurance agents, this move may provide an opportunity to cross-sell financial solutions to their existing customers. However, for their efficient functioning, agents will need to be skilled to distribute other financial products and also undergo necessary training and certifications. The practice or an individual distributing multiple financial products is not new. However, one will have to examine the details of this move and the manner in which it will be implemented to gauge how it will help the spread of financial instruments across India. ■